

the Singhs that the brothers had refused to pay.

In September 2022, the Supreme Court said transactions involving Fortis were prima facie bona fide, but sent the matter back to the Delhi High Court, holding that the high court could consider appointing forensic auditors if it deemed it appropriate. The Singhs were sentenced to six months' imprisonment for alleged financial irregularities during the share sale. The matter is sub judice.

LIFE MUST GO ON

With most issues resolved or close to resolution, IHH has overhauled Fortis by bringing in new faces, streamlining operations, and trying out patient-centric initiatives.

"When we arrived, things were quite unstable. The hospital's credibility, vendor relationships, and public perception were largely negative, both with the press and patients," says Raghuvanshi, who was brought in by IHH from Narayana Health (where he had spent over 18 years) to steer Fortis. "Financially, things weren't much better. Mistrust lurked within the organisation, with people wondering what went wrong, who was responsible, and if the new ownership would bring insecurity," he recalls. "When I came aboard, the environment was one of fear and distrust. There were pros and cons. I took time to understand the people and issues, but I also got a clean slate to implement necessary changes."

IHH Group CEO Prem Nair says the company is making strides in the Indian healthcare market, particularly through Fortis. "India is a critical part of our global strategy, and we are dedicated to elevating healthcare standards, improving patient care, and increasing accessibility to world-class medical services across the country," he says. The Raghuvanshi-led team created a portfolio rationalisation strategy that saw Fortis exiting the Chennai market by selling its two loss-making facilities—Fortis Vadapalani in July 2023 to Sri Kauvery Medical Care (India) and Fortis Malar in February 2024 to MGM Healthcare. This helped improve profitability and allowed for better allocation of resources.

BEDS, BEDS, AND MORE BEDS

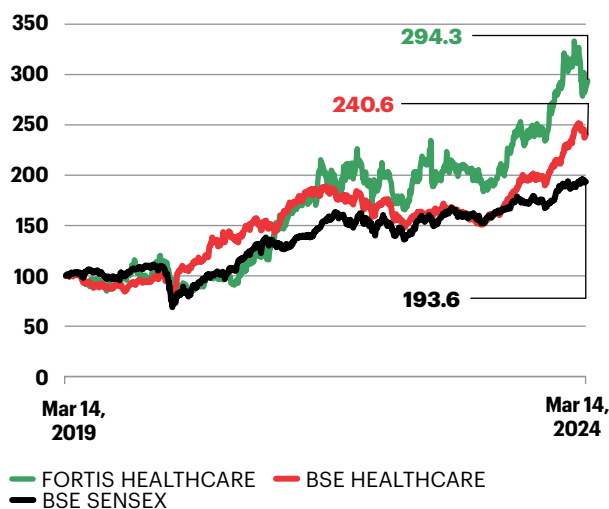
Fortis Healthcare's hospital business accounted for around 80% of its Ebitda, reporting an occupancy rate of 67% (going by the numbers for 2022-23). The rest largely came from its diagnostics business. In FY23, hospital business revenue increased by 19.8%, and margins expanded to 16.9% from 15.4% in FY22. The company's net debt-to-equity ratio was a healthy 0.04x.

But is this turnaround enough to draw investors? A December 2023 report by DAM Capital, an equity-focused investment bank and institutional equities plat-

FIGHTING FIT

▶ Shares of Fortis Healthcare have outperformed BSE Sensex in the past five years

▶ The stock scaled its all-time high of ₹469.50 on February 6, 2024



DATA HAS BEEN INDEXED TO 100 **SOURCE** ACE EQUITY

form, says the Fortis stock has underperformed its peers in the last three years, delivering a 37% CAGR or compound annual growth rate, while peers Max Healthcare, Narayana Health, Apollo Hospitals, and Medanta have reported CAGRs ranging from 43% to 122%. Fortis also has a weaker margin profile, trading at a lower forward EV/Ebitda multiple (22x) than its peers' 28-30x range.

Raghuvanshi remains optimistic. "Investors should be very interested in our company for the simple reason that despite all these legal overhangs, our financial performance has been continuously improving. On top of it, we have a very visible growth of more than 2,000 beds, almost 50% of our current capacity over the next three to four years." The company has differentiated strategies for Category A, B, and C hospitals, focussing on optimising performance and Ebitda margins. "We decided to increase capacity in all hospitals. Some had space for additional beds, while others required new blocks. These projects are on track, and the resulting scale will boost profitability," says Raghuvanshi.

Fortis aims to have around 10,000 beds within five to seven years, focussing on key markets like Delhi-